

Old vs New Regime, Decided

A 10-minute worksheet to pick your tax regime for this year —
worked examples, no CA required.

Before we start

Every year, salaried employees in India have to pick between two tax regimes. Most people either stick with whatever they used last year, or copy what a colleague does. Neither is a real decision — it's a guess. This ebook replaces the guess with actual numbers, using FY 2026-27 rules. Figures can change with future budgets, so treat the method here as reusable even if a number or two shifts next year.

1. The core difference, in one table

	New regime	Old regime
Default since	FY 2023-24 — this is what applies unless you opt out	Needs an active opt-in every year
Tax rates	Lower slab rates	Higher slab rates
Deductions & exemptions	Almost none — just the standard deduction	Many — 80C, 80D, HRA, home loan interest, and more
Best suited for	Those with few deductions, or income mostly from salary with no rent/loan claims	Those with high deductions — home loan, rent, insurance, investments

The short version: new regime rewards simplicity, old regime rewards documentation. If you don't have much to claim, the new regime usually wins by default.

2. New regime slabs (FY 2026-27)

Taxable income slab	Rate
Rs. 0 – Rs. 4,00,000	Nil
Rs. 4,00,000 – Rs. 8,00,000	5%
Rs. 8,00,000 – Rs. 12,00,000	10%
Rs. 12,00,000 – Rs. 16,00,000	15%
Rs. 16,00,000 – Rs. 20,00,000	20%
Rs. 20,00,000 – Rs. 24,00,000	25%
Above Rs. 24,00,000	30%

- **Standard deduction:** Rs. 75,000 for salaried employees, subtracted before slabs are applied.
- **Section 87A rebate:** if your taxable income is Rs. 12,00,000 or below, the rebate brings your tax to zero — effectively tax-free income up to Rs. 12,75,000 for a salaried person (after the standard deduction).
- **Cess:** a flat 4% health & education cess is added on top of the calculated tax.

3. Old regime slabs and deductions

Taxable income slab	Rate
Rs. 0 – Rs. 2,50,000	Nil
Rs. 2,50,000 – Rs. 5,00,000	5%
Rs. 5,00,000 – Rs. 10,00,000	20%
Above Rs. 10,00,000	30%

The old regime's higher rates are offset by a long list of deductions. This is the checklist to actually total up before deciding:

Deduction	Typical limit	What it covers
Standard deduction	Rs. 50,000	Automatic for all salaried employees.
Section 80C	Rs. 1,50,000	PPF, ELSS, life insurance premium, EPF contribution, principal repayment on home loan, children's tuition fees.
Section 80D	Rs. 25,000–Rs. 1,00,000	Health insurance premiums for self, family, and parents (higher limit for senior citizen parents).
HRA exemption	Varies by city and rent	Exempt portion of House Rent Allowance if you pay rent and can show proof.
Home loan interest (Section 24)	Rs. 2,00,000	Interest paid on a home loan for a self-occupied property.
NPS (Section 80CCD(1B))	Rs. 50,000	Additional deduction for contributions to the National Pension System, over and above 80C.

4. The decision rule

Add up every deduction you can genuinely claim under the old regime — standard deduction, 80C, 80D, HRA, home loan interest, NPS. Compare the total to this rough guide:

Total old-regime deductions	Likely better regime
Under Rs. 2,50,000	New regime, almost always
Rs. 2,50,000 – Rs. 4,00,000	Close — run both numbers, don't guess
Above Rs. 4,00,000–4,50,000	Old regime, especially at higher incomes

This is a starting heuristic, not a substitute for actually calculating both. The exact crossover point shifts with your income level — always verify with real numbers using a calculator (Paisa Stack's income tax tool does both regimes side by side).

5. Three worked examples

Example A — Rs. 8,00,000 salary, minimal deductions

	New regime	Old regime
Taxable income	Rs. 7,25,000 (after Rs. 75,000 std. deduction)	Rs. 7,50,000 (after Rs. 50,000 std. deduction)
Tax before cess	Rs. 26,250	Rs. 65,000
Winner	New regime	—

Example B — Rs. 15,00,000 salary, with home loan + 80C + HRA

Deductions claimed: Rs. 50,000 (standard) + Rs. 1,50,000 (80C) + Rs. 2,00,000 (home loan interest) + Rs. 1,80,000 (HRA) = Rs. 5,80,000 total.

	New regime	Old regime
Taxable income	Rs. 14,25,000 (after Rs. 75,000 std. deduction only)	Rs. 9,20,000 (after all deductions above)
Tax before cess	Rs. 1,48,750	Rs. 97,500
Winner	—	Old regime

Example C — Rs. 25,00,000 salary, moderate deductions

Deductions claimed: Rs. 50,000 (standard) + Rs. 1,50,000 (80C) + Rs. 25,000 (80D) = Rs. 2,25,000 total — no home loan or HRA claim.

	New regime	Old regime
Taxable income	Rs. 24,25,000	Rs. 22,75,000
Tax before cess	Rs. 4,27,500	Rs. 5,52,500
Winner	New regime	—

Notice Example C: even at a high income, the new regime still wins if deductions stay modest. Income level alone doesn't decide the winner — deduction total does.

6. Mistakes people make with this decision

- **Assuming the regime you used last year is still optimal.** Your income, rent, or loan situation changes — recheck every year, especially after a raise or a new home loan.
- **Forgetting to declare your choice to your employer.** If you don't actively choose, your employer will default to the new regime for TDS calculation.
- **Double-counting HRA and home loan benefits** without checking if both genuinely apply to your situation — these have specific conditions attached.
- **Business/professional income earners** face a different switching rule than salaried employees — once you opt out of the new regime, switching back has restrictions. This distinction doesn't apply to salaried income.
- **Not revisiting mid-year** if your deduction plan changes — a delayed home purchase or a lapsed insurance policy can flip which regime actually wins.

7. Quick answers to common questions

Can I switch regimes every year?

If your only income is salary, yes — you can choose freely each year when filing. If you have business or professional income, switching back to the old regime after opting for the new one has additional restrictions.

Does my employer decide this for me?

Your employer applies whichever regime you declare at the start of the year for TDS purposes, but your final choice is made when you file your return — they can differ, and you settle any difference at filing time.

What if I forget to declare a regime to my employer?

The new regime is applied by default for TDS calculation.

Is the old regime being phased out?

Not officially, but the new regime is positioned as the default going forward. It's worth checking each year in case rules shift again.

8. Your decision checklist

- ✓ List every deduction you can genuinely document — 80C, 80D, HRA, home loan interest, NPS.
- ✓ Add them up, including the standard deduction.
- ✓ Run both regimes through a calculator using your real income and that deduction total.
- ✓ Declare your choice to your employer at the start of the financial year.
- ✓ Recheck at least once mid-year if your situation changes — new loan, new rent, lapsed policy.

This ebook is a planning aid, not tax advice. Figures reflect FY 2026-27 rules as commonly published and can change with future budgets — confirm specifics with a chartered accountant or the Income Tax Department before filing. Paisa Stack's free income tax calculator runs both regimes side by side with your exact numbers.